

Bitcoin. We think it is very unlikely that Bitcoin will change its consensus mechanism. This poses some risks in the short-term for Bitcoin. It is likely that national regulatory authorities will make it difficult for miners to operate in areas powered by fossil fuels. This does, however, create opportunities for countries with locked energy (infeasible to export) like Iceland where electricity generation is both cheap and clean. Even today, Iceland hosts approximately 8 percent of global mining.

REGULATORY RISK

As the DeFi market increases in size and influence, it will face greater regulatory scrutiny. Major centralized spot and derivatives exchanges, previously ignored by the Commodity Futures Trading Commission (CFTC), have recently been forced to comply with KYC/AML compliance orders,²⁴ and DEXs appear to be next. Already, several decentralized derivatives exchanges, such as dYdX, must geoblock U.S. customers from accessing certain exchange functionalities. Whereas the non-custodial and decentralized nature of DEXs presents a legal gray area with an uncertain regulatory future, little doubt exists that regulation will arrive once the market expands.

A well-known algorithmic stablecoin project known as Basis was forced to shut down in December 2018 due to regulatory concerns.²⁵ A harrowing message remains on its homepage for future similar companies: “Unfortunately, having to apply US securities regulation to the system had a serious negative impact on our ability to launch Basis As such, I am sad to